

NVIDIA Corporation

NVDA NASDAQ

Buy	\$214.72 ▼ 0.98%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.20T
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NVDA: Cooling Into Earnings, But Setup Still Bullish

WHAT HAPPENED

- NVDA has quietly bled about 4.5% over five straight down days into Wednesday's earnings — that's classic pre-print de-risking, meaning big investors are trimming exposure so they don't get blown up by a surprise. Not a fundamental red flag, just nerves.
- Dan Ives is out calling the 15% AI server price hike "bullish" — translation: NVDA has so much pricing power that customers are eating a double-digit price increase without pushing back. That's a moat, not a warning sign.

WHY IT MATTERS

The options market is flashing bearish (put/call ratio 0.56 with unusual put buying at \$215 and \$227.50 strikes), which tells me institutions are hedging into earnings — they're not selling the stock outright, they're buying insurance. That's actually a healthier setup than pure euphoria because it means expectations are getting reset lower right before the print. If NVDA beats and guides even in-line, those puts get torched and you get a squeeze back to \$230+. The bigger picture: with server prices going UP 15% and hyperscaler capex still climbing, the demand side of this story hasn't cracked — the only question is whether Jensen can keep threading the needle on China export rules and supply.

POLICY & POLITICAL WATCH

The single biggest policy variable is the Trump administration's evolving China chip export framework — the current "H2O revenue-share" arrangement (where NVDA reportedly hands over 15% of China AI chip revenue to keep selling there) is still being negotiated, and any tightening could shave billions off the top line. On the tailwind side, the CHIPS Act 2.0 discussions and the administration's AI infrastructure push (the "Stargate"-adjacent federal AI buildout) keep the domestic demand story intact. Watch also the EU AI Act enforcement kicking in — it's more of a compliance headache than an existential threat, and NVDA's scale means they can absorb it while smaller competitors can't.

IS IT EXPENSIVE?

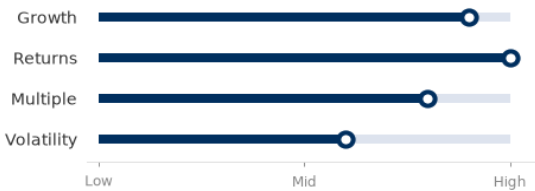
At ~\$215, NVDA trades around 37x forward earnings — meaning you're paying \$37 for every \$1 of profit they'll make next year. That sounds expensive, but they're growing earnings 40%+, so the PEG ratio (price relative to growth) is actually under 1, which is cheap for a market leader. Compare that to Palantir at 200x+ or even AMD at 45x with slower growth — NVDA is arguably the most reasonably priced megacap AI name given what it actually earns.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$214.72
12M Price Target	\$260.00
Upside / (Downside)	+21.1%
Market Cap	\$5.20T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	36.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$220.00	\$195.00
6 Months	\$265.00	\$235.00	\$185.00
1 Year	\$300.00	\$260.00	\$175.00
2 Years	\$360.00	\$290.00	\$160.00
5 Years	\$500.00	\$380.00	\$180.00
10 Years	\$800.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) and Healthcare (+4.33% on the week) — Materials is riding infrastructure spending and a weaker dollar; Healthcare is catching a bid on political de-risking around drug pricing rhetoric cooling off.

COOLING OFF: Communication Services (-1.37% weekly) and Financials (-1.17%) — Comm Services is the Meta antitrust trial overhang, Financials are pricing in Fed cut expectations squeezing net interest margins.

ROTATION WATCH: Money is quietly rotating OUT of mega-cap tech into cyclical and healthcare ahead of the NVDA print — this is defensive positioning, not conviction selling. If NVDA delivers, expect a sharp rotation back.

RELATED PLAY: If NVDA guides strong, the second-order winners are the memory names (MU already flagged by Ives) and the power/cooling infrastructure plays like VRT and ETN — the AI data centers need HBM memory and liquid cooling, and those suppliers have less crowded trades.

WHO'S WINNING IN THIS SPACE?

- MU (Micron): Ives specifically called them out as the sneaky beneficiary of the AI server price hike — HBM memory is supply-constrained and pricing power is transferring down the stack.
- AVGO (Broadcom): Custom AI silicon for hyperscalers keeps grinding higher as customers diversify away from pure NVDA dependency.

NVDA CONTEXT: NVDA is lagging its ecosystem slightly this week, which is unusual — it's the pre-earnings de-risking I mentioned. If NVDA prints well, it plays catch-up fast. If it disappoints, the whole AI complex re-rates lower with it, so don't get cute buying the "safer" derivatives.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$205-212 pre-earnings, or on any post-earnings dip toward \$200

Time Horizon: 12-18 months

Thesis Invalidation: Data center revenue growth decelerates below 40% YoY or China export controls tighten materially

Hedging: Buy protective puts into earnings or pair with a short in an overheated AI derivative name